

Protective Provisions for Investment-Trust Issues. Investment-trust bonds belong in a special category, we believe, because by their nature they lend themselves to the application of stringent remedial provisions. Such bonds are essentially similar to the collateral loans made by banks on marketable securities. As a protection for these bank loans, it is required that the market value of the collateral be maintained at a certain percentage in excess of the amount owed. In the same way the lenders of money to an investment trust should be entitled to demand that the value of the portfolio continuously exceed the amount of the loans by an adequate percentage, *e.g.*, 25%. If the market value should decline below this figure, the investment trust should be required to take the same action as any other borrower against marketable securities. It should either put up more money (*i.e.*, raise more capital from the stockholders) or sell out securities and retire debt with the proceeds, in an amount sufficient to restore the proper margin.

The disadvantages that inhere in bond investment generally justify the bond buyer in insisting upon every possible safeguard. In the case of investment-trust bonds, a very effective measure of protection may be assured by means of the covenant to maintain the market value of the portfolio above the bonded debt. Hence investors in investment-trust issues should demand this type of protective provision, and—what is equally important—they should require its strict enforcement. Although this stand will inflict hardship upon the stockholders when market prices fall, this is part of the original bargain, in which the stockholders agreed to take most of the risk in exchange for the surplus profits.⁶

A survey of bond indentures of investment trusts discloses a signal lack of uniformity in the matter of these protective provisions. Most of them do require a certain margin of asset value over debt as a condition to the sale

⁶ If the market value of the assets falls below 100% of the funded debt, a condition of insolvency would seem to be created which entitles the bondholders to insist upon immediate remedial action. For otherwise the stockholders would be permitted to speculate on the future with what is entirely the bondholders' capital. But even this apparently simple point is not without its difficulties. In 1938, holders of Reynolds Investing Company 5s endeavored to have a trustee appointed on grounds of insolvency, but stockholders claimed that the market price of certain large security holdings was less than their real value. After considerable delay, trustees were appointed, pursuant to an agreement among the various interests. Note that Guardian Investors Corporation 5s, due 1948, have been "under water" nearly all the time since 1932 and sold as low as 24, without any remedial steps being taken.